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The Resurgence in USDC

The supply of USDC has increased by 14.3% or over \$3.5B since late 2023

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The stablecoin landscape changed materially in 2023, mainly due to some important exogenous shocks. These include tighter capital conditions due to Federal Reserve rate hikes, the fallout from the FTX bankruptcy in November 2022 and the US regional banking crisis in March 2023. But since early 4Q23, stablecoin market capitalization has begun to pick up sharply, boosted in large part by the rise in overall crypto demand. As a result, total stablecoins in circulation have climbed up to US\$137B as of February 15, 2024, not far from the \$138B at the start of last year.

Notably, the supply of Circle's USDC has finally started to grow again, up 14.3% or over \$3.5B since December 1, 2023, taking its total market cap to \$28.0B – after dropping in the first three quarters of last year. Comparatively, Tether's USDT has increased by a smaller 8.7% to \$97.1B over the same period, which nevertheless gives it the majority 71% share of the stablecoin market. USDT's role in settling crypto derivatives like perpetual futures (which are almost exclusively traded outside of the US) partly explains the breadth of USDT's reach. Indeed, around 83% of total centralized exchange volumes globally (both spot and futures) currently utilizes USDT as the base currency.

That's starting to change, as USDC is gaining a greater presence in non-US markets. Since the start of 2023, USDC's share of spot and derivatives activity has increased by almost 5x, albeit to a still low 4% of total CEX volumes globally. Besides US spot BTC ETFs, the recent acceleration has also had to do with the launch of Coinbase International Exchange and the relisting of USDC on Binance. Coinbase

also started a market maker incentive program, which has improved the liquidity and market depth of USDC-related trading pairs in both spot and perps.

For more details, see our [full report](#).

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